

**Segment 1 : Introduction to the Fundamentals of
Business, Strategy and Strategic
Management**

**Topic 2 : Introduction to the Concepts of
Strategic Management**

Table of Contents:

- 2.1 Introduction
 - Learning Objectives
- 2.2 Concept of Strategic Management
 - Stages of Strategic Management
 - Need for Strategic Management
 - Features of Strategic Management
- 2.3 Role of Strategists in Decision Making
 - Different Strategist in Companies
 - Roles of Strategists
- 2.4 Strategists at Various Management Levels
- 2.5 Strategies at Various Levels
- 2.6 Benefits and Limitations of Strategic Management
 - Benefits of Strategic Management
 - Limitation of Strategic Management
- 2.7 Summary
- 2.8 Glossary
- 2.9 Case Study

2.1 Introduction

During the US President, Barack Obama's period, CEOs from three major American automakers (Ford, General Motors, and Chrysler) appeared in front of congressional leaders to ask for bailout money without a clear strategic plan. They were sent home by congressional leaders with instructions to prepare a clear strategic plan for the future. Austan Goolsbee, one of the top economic advisers of President Obama, criticized CEOs for, "asking for a bailout, without a convincing business plan, was crazy." He also said, "If three auto CEOs need a bridge, it's got to be a bridge to somewhere. Not a bridge to nowhere." These criticisms by Austan Goolsbee explain the importance of strategic management.

This chapter provides an introduction to strategic management. It discusses the scope, needs, features, and importance of strategic management. It defines the basic role of the strategists at various levels during decision-making. Furthermore, it discusses the types, benefits, and limitations of strategic management.

Learning Objectives:

After studying this topic, you will be able to:

- Explain the concept of strategic management.
- Identify the scope, needs, and importance of strategic management.
- Describe the role of strategists at various levels.
- Discuss the benefits and limitations of strategic management.

2.2 Concept of Strategic Management

Strategic management is the art and science of constructing, executing, and evaluating cross-functional decisions that help the Organisation to achieve its goals. It focuses on integrating different departments in the organization to achieve organizational goals. It is always associated with the term strategic planning, which is used more often in business.

The word strategic planning originated in the 1950s and became popular between the mid-1960s and mid-1970s. At this time, most of the corporates in America were obsessed with strategic planning and developing different models. However, during the 1980s, strategic planning was cast aside because it did not yield a higher return. During the 1990s, the process of strategic planning was revamped. This process is being practised even in today's business world.

Strategic planning is a game plan for an organization to succeed. Profit margins may shrink due to many reasons like recession, environmental crisis or change in governmental regulations, etc. A proper strategic plan helps organizations to achieve their goals. A good strategic plan is a result of managerial choice within the available opportunities that focus on a particular market, operations, policies, and procedures.

Some definitions of strategic management are:

Glueck and Jauch, 1984: Strategic management is a stream of decisions and actions, which leads to the development of an effective strategy or strategies, to help achieve corporate objectives.

Dess, Lumpkin and Taylor, 2005: Strategic management consists of the analysis, decisions, and actions, an organization undertakes to create and sustain competitive advantages.

Johnson and Sholes, 2002: Strategic management includes understanding the strategic position of an organization, making strategic choices for the future, and turning strategy into action.

The definition of strategic management includes planning, organizing, leading, and controlling organizational activities to achieve the purpose. It is nothing but the decision-making process for the long-term performance of the organization. Also, it is formulating and implementing strategies, to align the

internal environment with the external environment to achieve business goals. Therefore, strategic management does not replace traditional management concepts of planning, organizing, leading, and controlling., It integrates them with a broader perspective.

2.2.1 Stages of Strategic Management

There are three stages in strategic management:

1. Strategy formulation
2. Strategy implementation
3. Strategy evaluation

1. Strategy Formulation

Formulation of strategy consists of developing a mission and vision for the organization, identification of external opportunities and threats, and understanding internal strengths and weaknesses. Strategy formulation helps businesses to achieve long-term objectives by developing suitable strategies. Formulation of strategy focuses on the availability of different opportunities in the market, resource allocation, expansion of the operation or diversification, availability of new markets for business, possibilities of a merger or joint venture, etc. Strategy formulation helps the organization to decide the specific product, market, technologies, and resources. Also, it helps to define the long-term competitive advantages of a business.

2. Strategy Implementation

Strategy implementation is the 'action stage' of strategic management. Businesses need to establish objectives, develop policies, allocate resources, and motivate employees. Strategy implementation requires developing a supportive culture, preparation of budgets, effective development of organization structure, developing and utilizing information systems, redirecting marketing efforts, and connecting employee compensation to organizational performance. Implementation is a complex stage in strategic management, as it requires personal discipline and commitment. The interpersonal skills of the manager play a vital role in strategy implementation. It entirely depends on the ability of the managers to motivate employees.

3. Strategy Evaluation

It is the last stage in strategic management. Managers should know when implemented strategies are working or not and need to evaluate them from time to time. External and internal factors affecting a business are frequently changing. Therefore, strategies need to be modified frequently. Strategies are measured by reviewing the internal and external factors that act as a basis for formulating future strategies. Measuring the performances of implemented strategies and taking corrective measures as required are also needed in the evaluation stage. The success of today does not guarantee the success of tomorrow. Hence periodic evaluation of strategies is very important.

In large organizations, all the stages of strategic management are followed at all hierarchical levels.

2.2.2 Need For Strategic Management

Many experts argue that strategic management is not needed. Without this, the business can exist and develop. But others claim that strategic management is essential in this competitive era. The following are the reasons why strategic management is needed.

1. Changes in the Environment:

The business environment is dynamic and changing constantly. It creates difficulties in the activities of the organization. Hence, a firm needs to anticipate the changes, rather than react to them, that is the firm has to be proactive. Strategic management anticipates changes and directs the business to overcome them. Correspondingly, it helps firms to take advantage of the opportunities created by these changes. Thus, strategic management is a base for the business to take decisions.

2. Provides Guidelines:

The process of strategic management guides managers. These processes are helpful to understand the weakness within an organization and minimize the conflict between managers and employees to help a business run smoothly to accomplish its goals.

3. Develops Research: Helps to have a Depth Understanding of Problems:

Earlier, case studies were the basis to study different problems. Recently several models and methodologies have been developed in this field of strategic management that are helpful to study the problems in the organization. More systematic knowledge made strategic management generate a worthwhile area to implement in an organization.

4. Better Performance:

Many believe there is no evidence to suggest that strategic management leads to higher performance. On the other hand, some studies show that there is a relationship between formal planning and better performance. It can be concluded that firms which plan formally have a higher probability of achievement than those that do not.

5. Systematic Business Decision:

Strategic management provides information about business opportunities and threats that help top management to make business decisions accordingly.

6. Improve Communication:

Strategic management provides clear guidelines to all hierarchical levels -- strategic levels, tactical levels, and business levels. This helps with effective communication among managers at all levels.

7. Improves Coordination:

Guidelines provided by strategic management help delegate work from managers to employees. It clarifies the responsibilities of all employees. That helps improve coordination between managers and employees.

8. Allocation of Resources:

Strategic Management helps in analyzing the internal and external environment. This provides a clear picture of the requirements of projects that improve the allocation of resources based on the analysis and makes the project feasible.

9. Gives a Holistic Approach:

As we saw, strategic management helps in communication, coordination, and allocation of resources. This provides management with a holistic approach to business.

2.2.3 Features of Strategic Management:

1. Conscious Process:

Strategic Management is a consciously and intellectually developed process and a cognizant process. Skilled and experienced people are required to prepare the strategy. It needs the application of one's consciousness while developing a strategy.

2. Request Foresight:

A business needs to stay in tune with the times. It should be able to assess risks and anticipate threats. For example, if a food product is found to cause cancer, the management should anticipate that the food item should be banned immediately. This means that the business should not make any investment in this product.

3. Requires Good Skillsets

Skills and experience cannot be taught by training or coaching classes. Practical exposure for an extended period helps a person gain skills in strategies. Hence, strategic management always depends on the skill sets of managers.

4. Result-oriented process:

Strategic management is a process developed to analyze various factors, through SWOT analysis and other tools. Different factors are analyzed to develop strategies that allow businesses to thrive.

5. Facilitates decision-making:

Strategic management plays an essential role in making decisions. Strategic management provides different management tools that direct the organisational activities along the right path. Strategic management practices help the organization to take action early on any problem which reduces the risk and losses.

6. Primary Process:

Strategic management acts as a base for the business. Every business has to prepare strategies at the organizational level. Then, start another process for effective implementation.

7. Pervasive Process:

Strategic management is an essential process for the business at all levels. The top-level management formulates core strategies after collecting the information from all its middle and lower business units.

8. Allows for risk management:

Risk means the probability of future loss. Management of risk is part of strategic management. Risk management involves the formulation of various strategies to fight against risk. Hence, strategic management helps a business identify and minimize risks.

9. Drive Innovation:

Strategy is making choices in the available feasible option to achieve desired goals out of the restrictive situation. Innovation is one of the means to achieve a decided strategic goal. Hence, strategic management forces the employees to think out of the box to find the best solution which drives innovation.

Strategic management today is a complicated process. Hence it requires experience and excellent skillsets. It is a discipline in itself and pervasive and universal to any business.

2.3 Role of Strategists in Decision Making

Strategists are skilled individuals responsible for the overall success or failure of an organization. Strategists are named using different job titles such as owner, president, chief executive officer, chair of the board, chancellor,

executive director, dean, or entrepreneur, etc. Jay Conger, author of Building Leaders and professor of Organizational Behavior at London Business School, says, all strategists have to be chief learning officers. We are in an extended period of change. If our leaders aren't highly adaptive and create great models during this period, then our companies won't adopt either, because ultimately, leadership is about being a role model.

2.3.1 Different Strategist in Companies

Individuals managing different jobs in an Organisation, who play a role in strategic management are:

1. Board of Directors:

Elected group of individuals who represent the shareholders are called the board of directors. Shareholders may select the representative within them itself or from any financial institutions, controlling agencies, government, etc. The board of directors guides top management in framing strategies to accomplish organisational goals. They review and analyse the performance of the Organisation. They are also empowered to appoint senior executives. Hence, the success of the strategies developed in the Organisation depends on the skills and competence of these individuals.

2. Chief Executive Officer (CEO):

The CEO occupies a sensitive post next to the board of directors. In some organisations, he is also called managing director or executive director. He is responsible for formulating and evaluating the overall strategies of an Organisation.

3. Senior Management:

They are the top management in the managerial hierarchy. Senior management is responsible for new product development, diversification, and expansion, technology upgrade, renovation in the Organisation, etc. Hence, they can assist the board in formulating and implementing strategies by providing base-level information.

4. SBU (Strategic Business Units) Level Executives:

Executives who work in the business units are called SBU-level executives. All SBU heads form strategies to attain the predetermined objectives of the divisional unit. Each divisional unit needs to work in accordance with an organisation's goals. Hence, SBU heads have a high degree of authoritative responsibility in an Organisation.

5. Corporate Planning Staff:

Corporate-level staff are responsible for conducting studies and research related to strategic management. They assist the strategic management in formulating and implementing a strategy, based on their research. They are, however, not directly responsible for initiating strategy. They are supportive staff who assist other departments in policy and strategy implementation.

6. Middle-Level Managers:

Mid-level managers are operational planners in an Organisation. They are directly involved in the implementation of strategies formulated by the top management. They follow the guidelines and policies of the firm. Usually, they are not directly involved in any strategic management activities.

7. Executive Assistants:

Executive assistants assist the chief executive in fulfilling their duties. They collect data from different sources, analyse it, and then provide suggestions. They coordinate with internal staff and help maintain public relations for the chief executive.

8. Consultants:

Many organisations that are small in size and have limited resources may not be able to have a corporate planning department. These organisations take the help of external consultants for strategic management. Companies offering these services are A.F. Ferguson, S.B. Billimoria, KPMG Peat Marwick, McKinsey, to name a few.

2.3.2 Roles Of Strategists:

Strategists gather, organize, and analyze the information required by the organization. They track the competitive trends of the industry. They use scenario analysis and develop a forecasting model to evaluate the performance of the organization. These strategists are found in top-level management. In recent years, the chief strategic officer has emerged as a new position in the top management of the Organisation. It confirms the importance of strategists in an organization. The various roles they play are:

1. Forecaster

As a forecaster, the person helps the team to anticipate possible issues related to the market and competition that can come up for a business. A strategist identifies the strengths and weaknesses, its core competencies, threats from competitors, and also possible opportunities. Based on this, the strategist helps team members to make assessments and operate accordingly.

2. Sculptor

A strategist is like an artist who shapes the Organisation based on an assessment. A strategist prepares strategies and provides guidelines. The person may suggest changes in the organization structure, create alliances, introduce new products or services, or upgrade the technology, products, and services.

3. Legislators:

Legislators are the power players in the country or region. Similarly, strategists are power players in an organization. They know how to coach and direct team leaders and motivate employees

4. Mentor:

The strategist demonstrates how an individual in the organization can contribute to the business goals. Strategists help employees identify their purpose and capabilities. So that they can contribute to accomplishing the objective of the organization.

5. Supporter:

Strategists help employees to step out of their comfort zones and support them to stretch their capabilities. This way, they can contribute to achieving the objectives of the organization.

Acquiring businesses that complement your own is a good way to expand into new markets or capture an increased market share. With its acquisition of Instagram in 2012 for \$1 billion, Facebook cemented its place as the market-leading social media platform. Similarly, Disney's acquisition of Pixar and Marvel has helped it grow its audience dramatically.

2.4 Strategists at Various Management Levels

Individuals managing different jobs in an Organisation, and playing a role in strategic management are:

1. Board of Directors:

Elected group of individuals who represent the shareholders are called the board of directors. Shareholders may select the representative within them itself or from any financial institutions, controlling agencies, government, etc. The board of directors guides top management in framing strategies to accomplish organisational goals. They review and analyse the performance of an Organisation. They are also empowered to appoint senior executives. Hence, the success of the strategies developed in the Organisation depends on the skills and competence of these individuals.

2. Chief Executive Officer (CEO):

The CEO occupies a sensitive post next to the board of directors. In some organisations, he is also called managing director or executive director. He is responsible for formulating and evaluating the overall strategies of an Organisation.

3. Senior Management:

They are the top management in the managerial hierarchy. Senior management is responsible for new product development, diversification, and expansion, technology upgrade, renovation in the

Organisation, etc. Hence, they can assist the board in formulating and implementing strategies by providing base-level information.

4. SBU (Strategic Business Units) Level Executives:

Executives who work in the business units are called SBU-level executives. All SBU heads form strategies to attain the predetermined objectives of the divisional unit. Each divisional unit needs to work in accordance with an organisation's goals. Hence, SBU heads have a high degree of authoritative responsibility in an Organisation.

5. Middle-Level Managers:

Mid-level managers are operational planners in an Organisation. They are directly involved in the implementation of strategies formulated by the top management. They follow the guidelines and policies of the firm. Usually, they are not directly involved in any strategic management activities.

6. Consultants:

Many organisations that are small in size and have limited resources may not have a corporate planning department. These organisations take the help of external consultants for strategic management. Companies offering these services are A.F. Ferguson, S.B. Billimoria, KPMG Peat Marwick, McKinsey, etc. to name a few.

2.5 Strategies at Various Levels

Strategy is nothing but the foundation of an organization. Alternative strategies are developed to allocate resources optimally so that organizations can achieve their goals efficiently. If a strategy is ineffective, it impacts on the performance and morale of the employees. A strategy includes the preparation of the mission statement, identification of long-term objectives, allocation of resources, and methodologies to achieve determined objectives. Hence, identifying objectives is a part of the strategy formulation. Developing business policies is also part of a strategy. It provides a framework for decision-making. Strategic management works at all three levels of an organization: corporate, business, and functional levels.

1. Corporate Level Strategy

The corporate-level strategy mainly focuses on the market and the business in which it operates. It focuses on the opportunities and the strength of the organization to achieve predetermined goals. Top management formulates corporate-level strategy. These strategies include diversification, mergers, takeovers, joint ventures, entering into new markets, vertical and horizontal integration, stability, retrenchment, etc. Hence it affects business and functional units.

Examples:

1. A classic example of strategic acquisition in India is that of Sun Pharmaceuticals acquiring Ranbaxy for \$3.2 billion. . The main reason for the acquisition was to fill the gaps in the US market, getting better access to an emerging market. Also, gain holding in the Indian market. (100% of acquisition completed in April 2014)
2. Samsung is a multinational corporation consisting of multiple business units with diversified products. Samsung's products are smartphones, TVs, refrigerators, cameras, microwaves, laundry machines, insurances, and chemicals. Diversity in the product portfolio is also one of the corporate level strategies. But at the corporate level, Samsung

2. Business-Level Strategy

This can be described as a strategy formulated to compete and gain a competitive advantage over rivals. While developing a business-level strategy, strategists should have a good understanding of the business

Examples:

1. Apple Inc. is the best example of a business-level strategy. They focus on the high-end product sector to give that wow factor. This makes people strive for new products from Apple.
2. OnePlus is an example for cost leadership strategy: They built a razor-thin margins strategy. Through this, OnePlus planned to provide value back product at a lower cost. Also, their marketing strategy -- which involved no major advertisement and marketing, nor any major celebrity involvement, in the beginning -- helped gain good profit.

and the external environment. In this strategy, for internal assessment strategists use Value Chain analysis and VRIO (Value, Rarity, Imitability, and Organization) model. For the external analysis, Porter's five force model and PESTEL Analysis are used. After analyzing the internal and external environment, strategy is formulated using Value disciplines, Blue Ocean Strategy, and Porter's Generic Strategies. Finally, organizations can gain a competitive advantage by offering a unique product.

3. Functional-Level Strategy

This strategy is related to all functional levels, such as production, research, marketing, human resources, etc. It focuses on supporting business-level, as well as corporate-level strategies. This is aimed at improving the effectiveness of a company's operations. For example, managing cultural diversity in the human resource department.

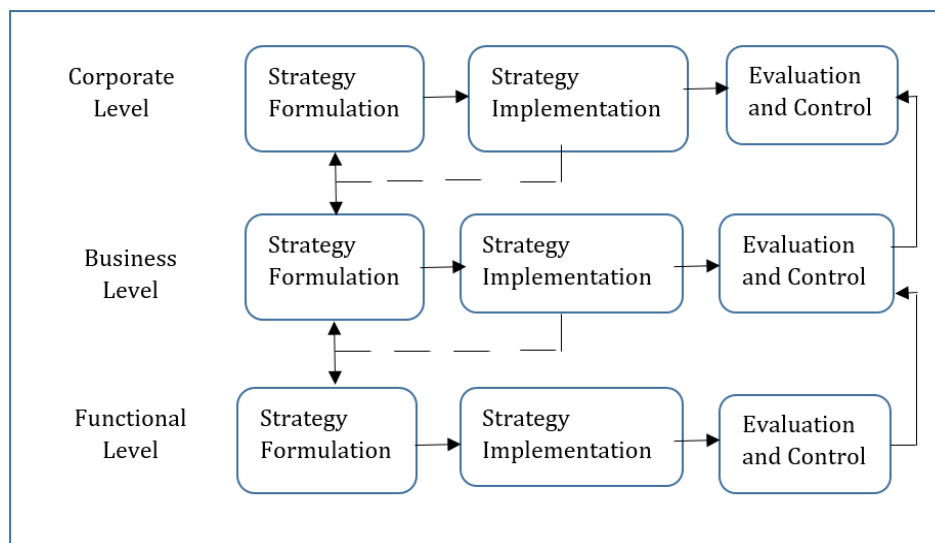


Fig 1: Strategic Management Process at Different Level

Source: P. Subba Rao (2016), *Business Policy and Strategic Management*, Himalaya Publishing House.

	Organizational Level	Strategic Business Level	Functional Level
Purpose	Implement mission	Achieve organization strategies	Support business unit and organizational strategy
Internal Activities	Control contribution of divisions, business unit to mission	Coordinate with other units developing a distinctive competence	Manage Daily operating problems
Key Questions	What business are we in? What business should we be in?	Focus on industry, product, and market.	Anticipate changes required from new business units and organizational strategies
Time Frame	Long term (3-year plus)	Intermediate (1-3 years)	Daily (below one year)
Performance Measure	Vague, flexible	Measurable, Moderately flexible	Detailed and specific

Fig 2: Characteristics of Strategies at Different Levels

Sources: P. Subba Rao (2016), *Business Policy and Strategic Management*, Himalaya Publishing House. Sub-sourced: Joe G. Thomas, "Strategic Management," Harper & Row, Publishers, New York, 1988, p. 46.

2.6 Benefits and Limitations of Strategic Management

Companies will prepare and implement strategies based on the internal and external environment. After the implementation of strategies some of these strategies will be beneficial to the organization and some will become limitations which will restrict the development of the Organisation.

2.6.1 Benefits of Strategic Management

Strategic management prepares an organization to be proactive in its responses to its environment. It helps an organization manage and regulate its performance. Many small businesses and non-profit organizations have identified and understood the benefits of strategic management.

Financial Benefits:

- High-performance organizations do systematic planning for future fluctuation in the internal and external environment. That reduces the risk of loss.
- IT helps the organization to increase sales, profitability, and productivity through its systematic processes.
- It helps a firm to forecast short and long-term revenues and overall financial performance.

Non-Financial Benefits:

- Strategic management helps us to communicate easily. It involves both the employer and employee and wins their commitment to supporting the organization.
- It helps the employees to understand the organization's objectives clearly and makes them more committed to working towards the company's goals.
- It boosts the morale of employees due to their participation in the process of strategic management.
- Implementation of strategies by the employees motivates them if it is linked to their compensation and performance.
- It empowers employees by encouraging them to participate in decision-making.
- It helps an organization decentralize, recognizing the importance of lower-level managers and employee participation.
- It helps to identify priorities and recognize available opportunities.
- It provides a framework to improve the performance of the organization and control activities.
- It helps to allocate time and resources effectively.
- It encourages the adoption of the changes.
- It provides a degree of discipline to the management and employees.

2.6.2 Limitation of Strategic Management

- It is a complex process that provides a framework rather than providing a ready-to-use prescription for success.
- It is a time-consuming task for managers. It can become a bottleneck to managing daily tasks for a manager.
- It is an expensive exercise that consumes many resources and time.

- It restricts flexibility in the process of the organization.
- The top manager's intuitive decision may conflict with the formal plan.

It does not yield immediate results.

2.7 Summary

Let us recapitulate the important concepts discussed in this topic:

- Strategic management is the art and science of formulating, executing, and analyzing cross-functional decisions.
- Strategic management focuses on the integrity of all the departments to achieve organizational goals.
- Strategic management is like a game plan prepared to have success in its mission.
- Strategic management provides general guidelines to the management by preparing policies that help to achieve the goals of the organization.
- Strategic management has three stages in its process: formulation, implementation, and evaluation.
- Strategic management is essential in this changing environment to provide guidelines. That helps take a systematic decision for better performance.
- Strategic management is a conscious process that requires skills and knowledge, and experience to have foresight on the future.
- Leaders of all levels in the Organisation are responsible for preparing and implementing a strategy.
- Strategists act as forecasters, sculpture, legislature, mentors, and supporters.
- Strategy is nothing but the foundation for the organization. Alternative strategies are developed to allocate resources optimally.
- If a strategy is developed ineffectively, it impacts the performance and motivation of the employees.
- Preparation of strategy considers all three levels of the organization: corporate, business, and functional levels.
-

2.8 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Forecasting:** Process of making a prediction using past and present data.
- **Goals:** Are the desired outcomes of an organization, established by the top management.
- **Long-term:** Doing things for long periods i.e., more than five years.
- **Non-Financial Benefits:** These are intangible benefits of an Organisation associated with strategic management.
- **Acquisition:** When one company purchases another company's most of shares.
- **Competitive Advantage:** Factors which are able to provide a company with the ability to produce goods and services better and cheaper than its rivals.
- **Evaluation:** A systematic judgment about a subject's value or significance to gain insight into it.
- **External Factors:** Situation or circumstances that can't be controlled by the business and that affects the business decision.
- **Internal Factors:** Situation or the circumstances that are under the control of the company whether it is tangible or intangible.
- **Objectives:** Objectives are clearly defined statements to achieve the goals of the organization.
- **Planning:** it is the process of looking into the future to achieve the desired objectives.
- **Strategic position:** Distinguish business in a valuable way from its competitors and delivering value to the specific customer segment.
- **Uncertainty:** impossible to describe future outcomes in the several possible outcomes.

2.9 Case Study

Iridium: A Failed Strategy

This case is on the development and subsequent failure of Iridium. In the 1990s, cell phones had limited functions. Customers had difficulties in making calls and paying heavy roaming charges while travelling, among others. Due to these disadvantages, the need for a satellite phone emerged. Analysts envisioned a single handset using satellite technology that could be used all over the world. Investors invested billions of dollars in the satellite phone network. Iridium was the first satellite phone network established in 1991. Many companies such as Sony, Sprint, and Lockheed provided technical and financial support. In 1997, Iridium launched its first satellites. After completing its network launch, Iridium provided super services, but the consumer did not show interest in buying satellite phones compared with the traditional system (cell phone).

The cost of Iridium's equipment and service fees outweighed those of satellite phones. Instead of focusing on cost, it advertised satellite services differentiating from conventional mobile phone services. Retail prices were \$3295 for a satellite phone, \$695 for a pager, and airtime fees of up to \$7. For this, Iridium applied the services versus price dichotomy. Instead of a price discrimination strategy, which focuses on different levels of price for different services. With a billion-dollar debt, Iridium could not lower the costs. As we all know, service or technology becomes more valuable when more people use it and helps to reduce the cost. Meanwhile, mobile phone services such as Version, AT&T, etc., expanded their infrastructure and services in different areas through strategic alliances.

it became a disadvantage for Iridium. The new mobile companies addressed many old complaints like roaming service charges, signal problems, cost of service, etc., by addressing individual customers. They started providing additional access to their consumers by providing different offers, like unlimited phone packages without roaming charges. The market strategy of Iridium is also one of the reasons for its failure. Instead of focusing on potential market niches, it focused only on large corporate customers such as aviation or oil companies. Instead of this, it could have focused on small businesses and residents of remote regions. Or applied size-based marketing or geographically-based marketing strategy. They could have gained

customer trust, which might have generated good word-of-mouth advertisements.

Due to the weak response from the consumer, Iridium filed for bankruptcy in the year 1999. As per the break-even analysis, Iridium needed 6, 00,000 customers around the world. But it had 55,000 customers by the time it filed for bankruptcy. Similarly, several other companies that tried to enter the satellite phone market are Odyssey worldwide service, ICO global communication, Teledisc, and Globalstar. But one after another filed for bankruptcy. Despite high-profile support and multi-billion investments Iridium, as well as its competitors in the satellite phone business, failed.

Learning points from the case are: Focus is needed on the strategy under high-level technological uncertainty. Risk of being the first mover. Trade-off risk while developing a new product. Analyze the impact of changing standards. Discussion Questions:

1. Analyze the role of poor strategic management in Iridium's failure.
2. What steps worked, do you think, taken collectively by the different companies who entered the satellite phone market?

___ is a general set of directions for the organization to achieve a desirable state in the future.

Ans: Strategy

References and Suggested Reading

- P. Subba Rao (2016), Business Policy and Strategic Management, Himalaya Publishing House.
- Fred R. David (2011), Strategic Management concepts and cases, Prentice Hall Publication 13th Edition.
- John A Pearce II and Richard B Robinson, Jr (2005), Strategic Management, McGraw-Hill Publication, 9th Edition.
- Reed Kennedy with others (2020), Strategic Management, Virginia Tech Publishing, Virginia. DOI: <https://doi.org/10.21061/strategicmanagement>. Neil Ritson (2011), Strategic Management, Ventus Publishing, ISBN 978-87-7681-417-5.

E-References

- Sonia Kukreja, Strategic Management, Managementstudyhq.com, accessed 15th April 2021, <<https://www.managementstudyhq.com/what-strategic-management-definition-features.html>>
- MBA knowledge base, management concepts, sited on 16/4/2021, <<https://www.mbaknol.com/management-concepts/the-role-of-strategist-in-a-business-organisation/>>